Unit 2

Management Basics Applied to Nursing

A. Definition of Management

- **General Definition**: Management is the process of planning, organizing, leading, and controlling the efforts of people and using other resources to achieve organizational goals.
- **In Nursing**: Management involves coordinating nursing services to provide safe, high-quality, and efficient patient care.

Definitions by Experts:

- **Koontz and O'Donnell**: "Management is the creation and maintenance of an internal environment in an enterprise where individuals, working in groups, can perform efficiently and effectively towards achieving group goals."
- **Mary Parker Follett**: "Management is the art of getting things done through people."

DEFINITIONS OF ADMINISTRATION

The word **"administer"** is derived from the Latin word **"ad+ministraire"** which means to care for or to look after people to manage affairs.

- The administration is the direction, coordination, and control of many people to achieve some purposes or objectives.

Pfiffner and Prethus

- The administration has to do with getting things done; with the accomplishment of defined objectives.

—Luther Gullick

Purposes of Administration

- Accomplishing the goals of the organization
- Maintaining the quality of service/ care within the financial limitations of the organization
- Encouraging the motivation of the employees and the clients in the area
- Increasing the ability of subordinates and peers to accept change
- Developing a team spirit and increased morale.
- Furthering the professional development of the personnel.

NATURE OF ADMINISTRATION

Nature of Administration
- Universal
- Holistic
- It is intangible
- Continuous and Ongoing
- Goal oriented
- Social and Human
- Dynamic
- Creative or Innovative

Administration Versus Management

- Administration is a function concerned with determination of policies, coordination of finance, production, distribution and structure under the ultimate control of the executive.

  —*Oliver Sheldon*
- Management is the process concerned with the implementation of plans through direction and guidance of personnel and optimum use of the required resources to attain the predetermined objectives. It is a process concerned with determining goals, objectives policies and plans for operation of health organization.

- Administration is concerned with decision making and management do execution of policies. According to American School of Thoughts, administration is superior to management.

B. Concept of Management

- A **goal-oriented** and **human-centered** process that integrates all resources (human, financial, material) to achieve healthcare delivery objectives.
- Management is both a **science (based on principles)** and an **art (requires skill, judgment)**.

Scientific Management Theory

- This theory focuses on **observation, measurement, and efficiency**.
- Main contributors: **Frederick Taylor, Henry Gantt, Emerson, and Charles Babbage**.

Frederick W. Taylor

- Known as the **Father of Scientific Management**.
- Studied work using **time and motion studies**.
- Used stopwatches to find the best way to do a job.
- Suggested **efficiency bonuses** for good performance.

Charles Babbage

- Introduced **cost accounting**.
- Supported **division of work based on skills**.
- Encouraged use of **machines instead of manual work**.

Classical Organizational Theory

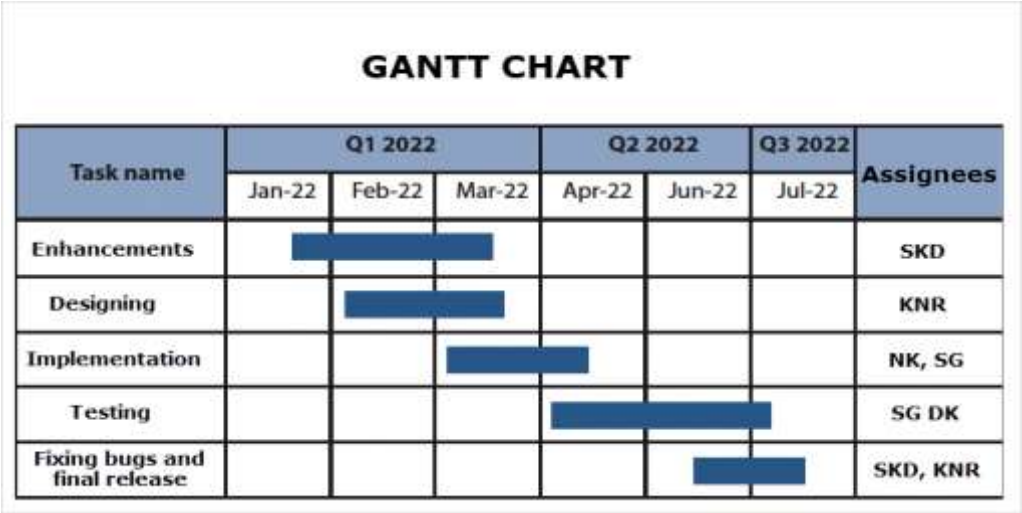
- Main contributors: **Henry Fayol, Max Weber, and James Mooney**.

Henry Fayol

- Known as the **Father of Management Process**.
- Said management is **universal**.
- Emphasized **planning, organizing, directing, and controlling**.
- Supported clear hierarchy and standardized work conditions.
- Suggested incentives to reduce worker dissatisfaction.

Henry Gantt

- Improved Taylor's ideas.
- Introduced **Gantt Chart** to compare work planned and time taken.
- Supported bonus systems to increase efficiency.
- Believed in proper selection and training of workers.



Max Weber

- Known as the **Father of Organizational Theory**.
- Introduced the concept of **bureaucracy**.
- Identified three types of authority:
  - **Traditional authority** (based on customs)
  - **Charismatic authority** (based on personality)
  - **Rational-legal authority** (based on rules and qualifications)

James Mooney

- Said management is the art of directing people.
- Emphasized coordination, clear job roles, hierarchy, and authority.

Human Relations Theory

- Focuses on the **human element** in organizations.
- Workers' needs and feelings affect success or failure.
- Managers should help workers develop their potential.

Mary Parker Follett

- Viewed organization as a **social system**.
- Believed in **"power with" (cooperation)** instead of **"power over" (authority)**.
- Emphasized mutual influence between superiors and subordinates.

Kurt Lewin

- Known as the **Father of Social Psychology**.
- Highlighted the importance of **group dynamics**.
- Said group behavior influences individual behavior.
- Group forces can be stronger than individual interests.

Behavioral Science Theory

- Emphasizes **positive attitude toward people**.
- Focuses on training managers and meeting employees' needs.

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3. Modern Management Theories

a) Systems Theory

- **Systems Theory**: Organization is seen as a system with interrelated parts.
- Organization is seen as a **system** made up of different parts.
- All departments are **interrelated** and work together.
- A change in one part affects the whole organization.

b) Contingency Theory

- **Contingency Theory**: No one-size-fits-all – management approach depends on the situation.
- There is **no single best way** to manage.

- Management decisions depend on the **situation, environment, and needs**.
- Different situations require different management approaches.

Motivational Theories

Abraham Maslow's Need Hierarchy Theory

One of the most popular theories of motivation is the hierarchy of needs theory put forth by psychologist Abraham Maslow (Fig. 10). Maslow saw human needs in the form of a hierarchy, ascending from the lowest to the highest, and he concluded that when one set of needs are satisfied, people will go for the next set of needs.

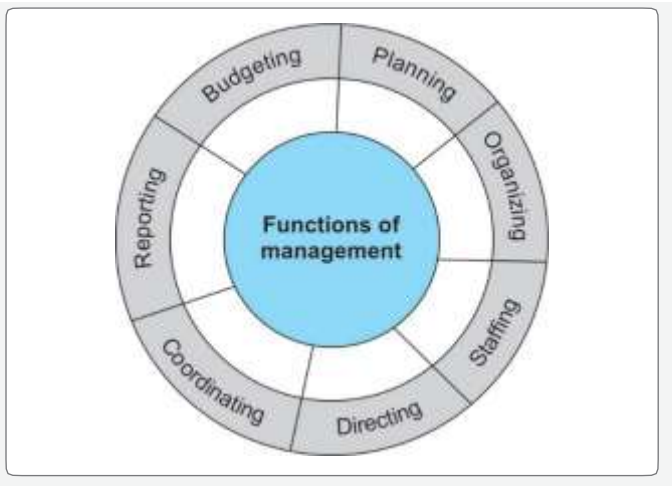
He classified the human needs into five, which are:

- Physiological needs
- Safety needs
- Social needs
- Esteem needs
- Self-actualization needs

Maslow later refined his model to include a level between esteem needs and self-actualization: the need for knowledge and aesthetics.

Introduction to the Management Process in Nursing

The **Management Process** involves 7 steps:



The **POSDCORB model** was given by **Luther Gulick**.
POSDCORB represents the **main functions of management** needed to run an organization efficiently.

POSDCORB =
P – Planning
O – Organizing

S – Staffing
D – Directing
CO – Coordinating
R – Reporting
B – Budgeting

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1. Planning (P)

Meaning

Planning is the process of **deciding in advance** what to do, how to do it, when to do it, and who will do it.

Objectives of Planning

- To achieve organizational goals
- To reduce uncertainty
- To use resources effectively
- To prepare for future problems

Steps in Planning

1. Setting goals and objectives
2. Forecasting future conditions
3. Identifying alternatives
4. Selecting the best plan
5. Implementing the plan

Importance of Planning

- Provides direction
- Avoids confusion and wastage
- Improves coordination
- Helps in decision-making

Example (Nursing/Health Care)

Planning duty schedules, patient care plans, and health programs.

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2. Organizing (O)

Meaning

Organizing means **arranging activities and resources** to achieve planned objectives.

Objectives of Organizing

- Proper distribution of work
- Clear authority and responsibility
- Smooth functioning of the organization

Elements of Organizing

- Division of work
- Departmentation
- Delegation of authority
- Establishing relationships

Importance of Organizing

- Reduces workload confusion
- Improves efficiency
- Ensures teamwork

Example

Organizing hospital departments like OPD, ICU, wards, and assigning staff.

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3. Staffing (S)

Meaning

Staffing involves **recruiting, selecting, training, and placing** the right person for the right job.

Steps in Staffing

1. Manpower planning
2. Recruitment
3. Selection
4. Training and development
5. Performance appraisal
6. Promotion and transfer

Importance of Staffing

- Ensures availability of skilled staff
- Improves quality of work
- Increases employee satisfaction

Example

Recruitment and training of nurses, ward boys, and healthcare workers.

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4. Directing (D)

Meaning

Directing means **guiding, supervising, and motivating employees** to achieve organizational goals.

Components of Directing

- Supervision
- Motivation
- Leadership
- Communication

Importance of Directing

- Initiates action
- Improves performance
- Maintains discipline
- Builds teamwork

Example

Head nurse guiding staff nurses in patient care and procedures.

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5. Coordinating (CO)

Meaning

Coordination is the process of **harmonizing all activities** of different departments and individuals.

Objectives of Coordination

- Unity of action
- Avoid duplication of work
- Efficient use of resources

Types of Coordination

- Internal coordination
- External coordination

- Vertical coordination
- Horizontal coordination

Importance of Coordination

- Ensures smooth workflow
- Prevents conflicts
- Achieves organizational goals

Example

Coordination between doctors, nurses, lab staff, and pharmacy.

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6. Reporting (R)

Meaning

Reporting involves **keeping records and communicating information** about performance and progress to higher authorities.

Types of Reports

- Daily reports
- Monthly reports
- Annual reports
- Incident reports

Importance of Reporting

- Helps in evaluation
- Ensures accountability
- Supports decision-making
- Maintains transparency

Example

Patient records, ward census, and nursing reports.

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7. Budgeting (B)

Meaning

Budgeting is the process of **planning and controlling financial resources** of the organization.

Types of Budget

- Operating budget
- Capital budget
- Cash budget
- Zero-based budget

Importance of Budgeting

- Controls expenses
- Prevents wastage
- Ensures proper allocation of funds
- Helps in financial planning

Example

Hospital budget for medicines, equipment, and staff salaries.

Role of Nurse as a Manager

Nurses are both caregivers and **managers** in healthcare settings. Their management roles include:

As a Planner:

- Planning shifts, schedules, and nursing care plans.

As an Organizer:

- Delegating tasks and arranging resources.

As a Leader:

- Leading by example, mentoring junior nurses.

As a Supervisor:

- Observing patient care and performance of staff.

As a Communicator:

- Sharing info between doctors, patients, and families.

As a Decision-maker:

- Making critical care decisions, especially in emergencies.

As a Quality Controller:

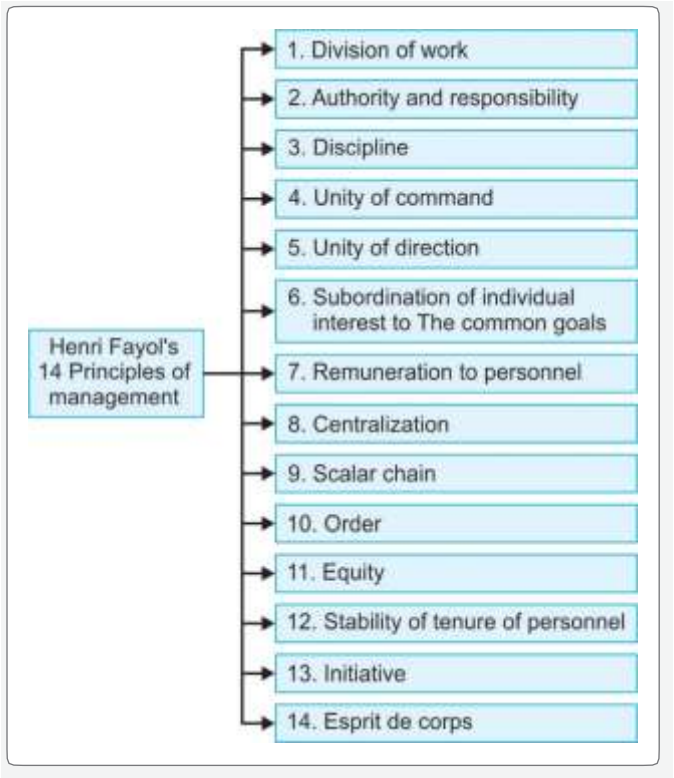
Ensuring protocols and safety standards are followed.

Role	Description	Example
Planner	Sets goals and schedules	Plans daily shift duties
Organizer	Allocates staff and materials	Distributes work fairly
Leader	Guides and inspires the team	Motivates during workload pressure
Supervisor	Monitors work	Ensures proper documentation
Communicator	Shares information	Reports to doctors, patients, and admin
Decision-Maker	Solves problems	Responds during patient emergencies
Evaluator	Assesses performance	Audits patient records

Principles of Management (Henry Fayol – 14 Principles)

These are **basic guidelines** for effective management:

Principle	Meaning	Nursing Example
Division of Work	Specialization increases efficiency	Assign nurse to same ward regularly
Authority & Responsibility	Right to give orders and be accountable	Nurse In-charge delegates tasks
Discipline	Obedience and respect	Following hospital rules
Unity of Command	One person = one boss	Staff nurse reports to only one superior
Unity of Direction	One team = one goal	One care plan for a patient group
Subordination	Group interest > personal interest	Prioritize patient safety
Remuneration	Fair salary	Equal pay for equal work
Centralization	Balance of power	Ward-level decisions by In-charge
Scalar Chain	Chain of command	From staff nurse to Matron
Order	Everything in place	Store equipment in assigned shelves
Equity	Fair treatment	Equal opportunity in shifts
Stability of Tenure	Job security	Avoid frequent staff transfers
Initiative	Encourage new ideas	Suggest new method for patient charting
Esprit de Corps	Team spirit	Promote cooperation among nurses



According to Urwick, Keith and Fayol – 15 Principles of Management

No.	Name of the Principle	Explanation
1	**The Principle of Policymaking**	Management should make clear and fair policies in the interest of workers.
2	**The Principle of Improvement and Adjustment**	Organization should grow gradually and adjust to changing situations.
3	**The Principle of Balance**	Proper balance should exist between authority, responsibility, and duties.
4	**The Principle of Individual Effectiveness**	Training, good salary, and healthy environment improve worker efficiency.
5	**The Principle of the Relationship Between Task and Accomplishment**	Jobs should be assigned according to skills, ability, and experience.
6	**The Principle of Simplicity**	Work methods, rules, and procedures should be simple and easy to follow.
7	**The Principle of Specialization**	Specialized work increases efficiency and improves quality of work.
8	**The Principle of Standardization**	Use of standard methods helps in smooth and systematic management.
9	**The Principle of Financial Incentives**	Proper pay and incentives motivate employees to work better.

No.	Name of the Principle	Explanation
10	**The Principle of Planning**	Planning decides what, how, when, and who will do the work.
11	**The Principle of Control**	Proper supervision and discipline help in controlling work and workers.
12	**The Principle of Leadership**	Leaders should guide, supervise, and direct workers effectively.
13	**The Principle of Cooperation**	Mutual respect and teamwork improve organizational performance.
14	**The Principle of Responsibility and Authority**	Duties should match the authority given to each worker.
15	**The Principle of Exception**	Top management should focus on important decisions, not routine work.

. Levels of Management in Nursing

Healthcare organizations have three levels of management:

1. Top-Level Management

- **Roles**: Strategic decision-making, long-term planning.
- **Examples**: Director of Nursing, Chief Nursing Officer (CNO).
- **Responsibilities**:
  - Setting vision and goals.
  - Policy formation.
  - Budget planning.
  - Coordination with administrative heads.

2. Middle-Level Management

- **Roles**: Tactical execution of top-level plans, bridging the top and operational levels.
- **Examples**: Nursing Superintendent, Assistant Nursing Superintendent, Matron.
- **Responsibilities**:
  - Staff supervision.
  - Ensuring adherence to protocols.
  - Training and performance review.
  - Scheduling and resource allocation.

3. Lower-Level Management

- **Roles**: Operational leadership, day-to-day patient care.
- **Examples**: Ward Incharge, Charge Nurse, Staff Nurse.
- **Responsibilities**:
  - Direct patient care.
  - Maintaining patient records.
  - Staff delegation.
  - Ensuring hygiene, safety, and timely interventions.

Quick Recap

Concept	Key Points
Management vs Administration	Management = Execution, Administration = Planning
Functions (POSDC)	Planning, Organizing, Staffing, Directing, Controlling
14 Principles	Fayol's guidelines for effective management
Nurse as Manager	Acts as planner, leader, communicator, and evaluator
Management Process	A step-by-step method to ensure quality care

Differences between Management and Administration

Basis	Administration	Management
Level	Top-level	Middle and lower levels
Focus	Policy formulation	Policy implementation
Decision-making	Strategic decisions	Operational decisions
Nature	Theoretical, conceptual	Practical, action-oriented
Example in Nursing	Hospital board deciding nursing policies	Nursing superintendent implementing duty rosters

3. Principles of Management

Henri Fayol, a French management theorist, developed **14 principles of management** that are still relevant in modern healthcare settings:

No.	Principle	Application in Nursing
1.	Division of Work	Assign tasks according to specialization (e.g., ICU nurse)
2.	Authority and Responsibility	Nurse managers must have authority to make decisions
3.	Discipline	Adherence to rules and regulations
4.	Unity of Command	Nurses should report to one superior
5.	Unity of Direction	All nursing efforts toward common patient care goals
6.	Subordination of Individual Interest	Group goal over personal gain
7.	Remuneration	Fair salary for staff
8.	Centralization	Balance between decision-making at different levels
9.	Scalar Chain	Clear communication hierarchy
10.	Order	Organized workplace and responsibilities

No.	Principle	Application in Nursing
11.	Equity	Fair treatment of all staff
12.	Stability of Tenure	Job security boosts morale
13.	Initiative	Encourage staff to suggest improvements
14.	Esprit de Corps	Promote teamwork and harmony